آغا خان یونیورسٹی ایگزامینیشن بورڈ

AGA KHAN UNIVERSITY EXAMINATION BOARD

Notes from E-Marking Centre on HSSC-I Principles of Accounting Annual Examinations 2025

Introduction

This document has been produced for the teachers and candidates of Higher Secondary School Certificate (HSSC) Part I Principles of Accounting. It contains comments on candidates' responses to the 2025 HSSC-I Examination indicating the quality of the responses and highlighting their relative strengths and weaknesses.

E-Marking Notes

This includes overall comments on candidates' performance on every question and *some* specific examples of candidates' responses that support the mentioned comments. Please note that the descriptive comments represent an overall perception of the better and weaker responses as gathered from the e-marking session. However, the candidates' responses shared in this document represent some specific example(s) of the mentioned comments.

Teachers and candidates should be aware that examiners may ask questions that address the Student Learning Outcomes (SLOs) in a manner that requires candidates to respond by integrating knowledge, understanding and application skills they have developed during study. Candidates are advised to read and comprehend each question carefully before writing the response to fulfil the demand of the question.

Candidates need to be aware that the marks allocated to the questions are related to the answer space provided on the examination paper as a guide to the length of the required response. A longer response will not in itself lead to higher marks. Candidates need to be familiar with the command words in the SLOs which contain terms commonly used in examination questions. However, candidates should also be aware that not all questions will start with or contain one of the command words. Words such as 'how', 'why' or 'what' may also be used. It is imperative to refer to the command word guide available on AKU-EB website for understanding the expectations of the command word.

General Observations

The overall performance of candidates indicated that they were generally comfortable with recalling and applying the basic rules of debit and credit, cash ledger posting, and simple theoretical points such as reasons for differences in bank balances. These areas reflect sound knowledge of fundamental accounting principles and basic recording techniques, which most candidates could apply accurately. Their strength in these concepts shows familiarity with routine transactions and straightforward applications, where the method is standard and less analytical thinking is required.

In contrast, candidates struggled with questions that required analytical application, error correction, reconciliations, preparation of financial statements, and depreciation-related adjustments. Many candidates faced difficulty in handling trial balance preparation, bank reconciliation statements, rectification of errors, adjustments in final accounts, and disposal of

fixed assets, which involve multiple steps and careful interpretation of data. These weaknesses highlight a gap in problem-solving ability, conceptual clarity, and structured presentation of financial information. It was evident that while students could manage direct recall and procedural questions, they lacked confidence in interpretation, adjustment, and synthesis of accounting data into comprehensive solutions.

Note: Candidates' responses shown in this report have not been corrected for grammar, spelling, format, or information.

DETAILED COMMENTS

Constructed Response Questions (CRQs)

Question No. 1

Question Text

Complete the given table by applying the law of debit (Dr.) and credit (Cr.) for the given business transactions.

(**Note**: The first transaction has been completed for your assistance.)

S. No.	Transaction	Debit (Dr.)	Credit (Cr.)
1.	Salim purchased merchandise worth Rs 150,000 on account paying Rs 25,000 as a down payment.	Purchases	Cash Account payable
2.	Alina paid her workshop's rent by paying Rs 10,000 cash and issuing a cheque of Rs 15,000.		
3.	Karim paid wages of Rs 1,500 to his workers and gave them merchandise worth Rs 1,000.		
4.	Amin withdrew merchandise worth Rs 15,000 and cash Rs 5,000 for personal use.		

SLO No. 1.3.3

SLO Text Apply the rules of debit and credit on different business transactions.

Max Marks 3

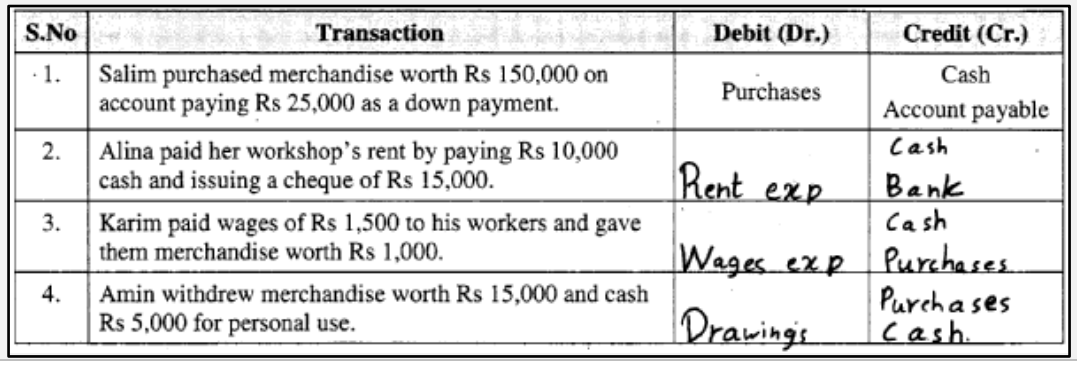
Cognitive Level U

Checking Hints Give ONE mark for each correct application of law of debit and credit on each transaction. (Any THREE required).

Overall Performance Overall, candidates' performance on this question was strong. Many candidates were able to apply the rules of debit and credit correctly and complete the table accurately. Only a small percentage of candidates struggled in applying rules of debit and credit correctly, indicating that most had a good grasp of basic accounting principles.

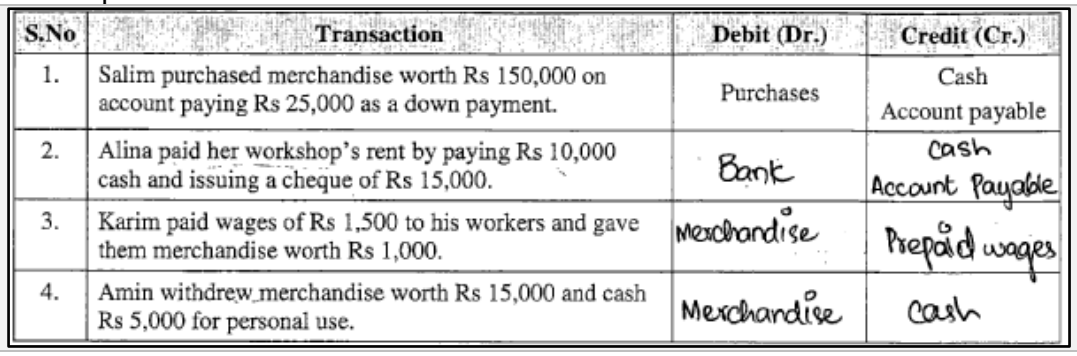
Description of Better Responses *Better responses* showed a clear understanding of the rules of debit and credit and how they apply to various types of transactions. These candidates correctly identified relevant accounts for each transaction and placed them appropriately under the debit or credit column. For example, in transaction 2, many candidates correctly debited the Rent Expense and credited both Cash and Bank (or Cheque/ Bank). In transaction 4, candidates understood that withdrawals for personal use affect the Drawings account, and correctly recorded Drawings Dr. and Cash/ Inventory Cr. This indicated good conceptual clarity.

Image of Better Response



S.No	Transaction	Debit (Dr.)	Credit (Cr.)
1.	Salim purchased merchandise worth Rs 150,000 on account paying Rs 25,000 as a down payment.	Purchases	Cash Account payable
2.	Alina paid her workshop's rent by paying Rs 10,000 cash and issuing a cheque of Rs 15,000.	Rent exp	Cash Bank
3.	Karim paid wages of Rs 1,500 to his workers and gave them merchandise worth Rs 1,000.	Wages exp	Cash Purchases
4.	Amin withdrew merchandise worth Rs 15,000 and cash Rs 5,000 for personal use.	Drawings	Purchases Cash.

Description of Weaker Responses *Weaker responses* often lacked clarity in classifying accounts and showed confusion between personal vs. business transactions. For instance, some candidates incorrectly treated the rent payment as an asset rather than an expense or failed to split the dual payment (cash and cheque) correctly. Others wrote only one side of the entry or placed the correct accounts under the wrong column. In transaction 3, a few responses wrongly treated the merchandise given to workers as a sale instead of a wages/ expense. This indicated that

	these candidates had memorised the debit and column just based on key words rather than on complete situations/ transactions.
Image of Weaker Response	

S.No	Transaction	Debit (Dr.)	Credit (Cr.)
1.	Salim purchased merchandise worth Rs 150,000 on account paying Rs 25,000 as a down payment.	Purchases	Cash Account payable
2.	Alina paid her workshop's rent by paying Rs 10,000 cash and issuing a cheque of Rs 15,000.	Bank	Cash Account Payable
3.	Karim paid wages of Rs 1,500 to his workers and gave them merchandise worth Rs 1,000.	Merchandise	Prepaid wages
4.	Amin withdrew merchandise worth Rs 15,000 and cash Rs 5,000 for personal use.	Merchandise	Cash

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy** Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • *- • Practical Demonstration ** For description of each Pedagogy, refer to Annexure A	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

To improve overall accuracy in such questions, students need more practice in identifying types of accounts (assets, liabilities, expenses, revenues, capital) and applying the rules of debit and credit to each. Additionally, they should be taught how to handle compound journal entries. To enable them to do so, following are some of the activities.

T-Account Sorting Activity: Use cut-out slips of different account names and have students sort them into Debit or Credit columns through small group tasks or classroom games. This will build familiarity with account behavior.

Transaction Role Play: In groups, assign students' different roles (cashier, owner, supplier, etc.) and let them act out a transaction, then record it together. This approach helps make abstract concepts more concrete and easier to remember.

*K = Knowledge U = Understanding A = Application and other higher-order cognitive skills

<table>
<tr><th colspan="2">Question No. 2</th></tr>
<tr><td>Question Text</td><td>Write ONE point of difference between the given fundamental concepts of accounting.

(Note: Attempt any THREE concepts.)
<table>
<tr><td rowspan="3">I.</td><th>Current Asset</th><th>Non-Current Asset (Fixed Assets)</th></tr>
<tr><td></td><td></td></tr>
<tr><td></td><td></td></tr>
<tr><td rowspan="3">II.</td><th>Trade Receivable (Account Receivable)</th><th>Notes Receivable</th></tr>
<tr><td></td><td></td></tr>
<tr><td></td><td></td></tr>
<tr><td rowspan="3">III.</td><th>Trade Payable (Account Payable)</th><th>Notes Payable</th></tr>
<tr><td></td><td></td></tr>
<tr><td></td><td></td></tr>
<tr><td rowspan="3">IV.</td><th>Current Liability</th><th>Non-Current Liability</th></tr>
<tr><td></td><td></td></tr>
<tr><td></td><td></td></tr>
</table></td></tr>
<tr><td>SLO No.</td><td>1.2.9</td></tr>
<tr><td>SLO Text</td><td>Differentiate between the following: a. current asset and non-current assets (fixed assets) b. account receivable and notes receivable c. account payable and notes payable d. current and non-current liabilities (short term and long term).</td></tr>
<tr><td>Max Marks</td><td>3</td></tr>
<tr><td>Cognitive Level</td><td>U</td></tr>
<tr><td>Checking Hints</td><td>Give ONE mark for each correct point of difference (any THREE required).</td></tr>
<tr><td>Overall Performance</td><td>Overall, candidates’ performance on this question was satisfactory. Few candidates failed to score any marks, while only a small fraction was able to provide correct and complete responses. This suggests that many candidates had difficulty recalling or understanding the differences between fundamental accounting concepts.</td></tr>
<tr><td>Description of Better Responses</td><td>Better responses gave one clear and accurate point of difference for each pair using correct accounting terms. They explained that current assets are expected to be realized within a year, while non-current assets provide benefits beyond one year. Trade receivables arise from normal credit sales, whereas notes receivable is backed by a formal written promise. Trade payables represent obligations to suppliers for goods or services, while notes payable are formal written obligations, often with interest. Finally, current liabilities are due within one year, while non-current liabilities fall due after one year. These precise and structured distinctions reflected stronger conceptual clarity.</td></tr>
</table>

Image of Better Responses

I.	**Current Asset**	**Non-Current Asset (Fixed Assets)**
	The economic resources of a business which will provide benefit within one year.	The economic resources of a business which will provide benefit more than one year.
II.	**Trade Receivable (Account Receivable)**	**Notes Receivable**
	A verbal promise by a customer to pay the amount of goods purchased later.	A written promise by a customer to pay the amount of goods purchased. Later.
III.	**Trade Payable (Account Payable)**	**Notes Payable**
IV.	**Current Liability**	**Non-Current Liability**
	It is a debt of a business which have to be paid within a year.	It is a debt of a business which can be paid in next period or next year.

Description of Weaker Responses

Weaker responses were often too general or incorrect. Many candidates simply defined the terms rather than stating how they differ. Some gave vague comparisons like "one is short-term, and one is long-term" without specifying which one. Others confused the pairs entirely. For instance, mixing up payables and receivables, or treating notes as the same as regular trade amounts. A few candidates tried to attempt all four pairs despite instructions to do only three, which led to rushed or incomplete answers.

Image of Weaker Responses

I.	**Current Asset**	**Non-Current Asset (Fixed Assets)**
	In-use Assets.	Prepaid Assets.
II.	**Trade Receivable (Account Receivable)**	**Notes Receivable**
	Amount Receivable via credit or on account.	Amount Receivable via cash or cheque.
III.	**Trade Payable (Account Payable)**	**Notes Payable**
	Amount Payment via credit or on account.	Amount Payment via cash or cheque.
IV.	**Current Liability**	**Non-Current Liability**
	Current risk of loss.	Non-current risk of loss.

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

To assist students in a better way, teachers can use the following activities:

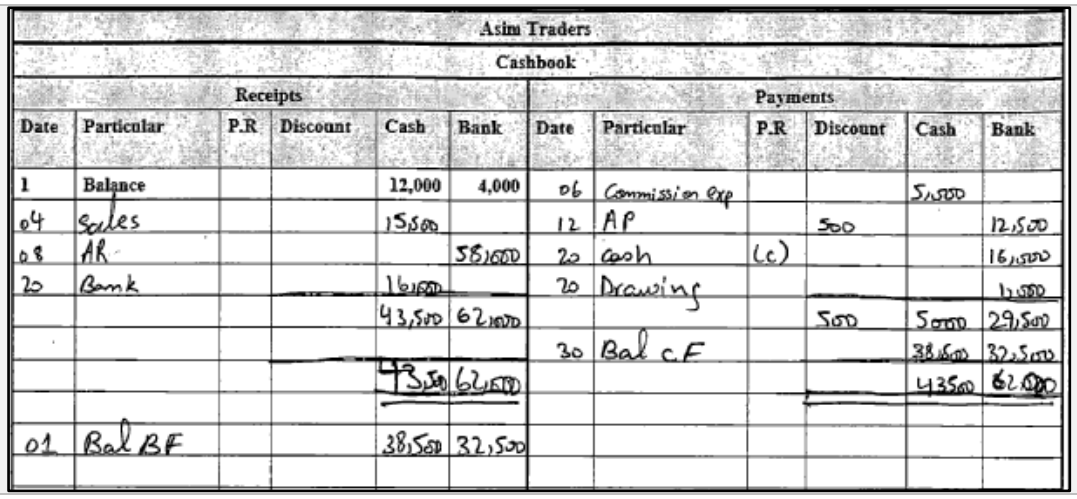
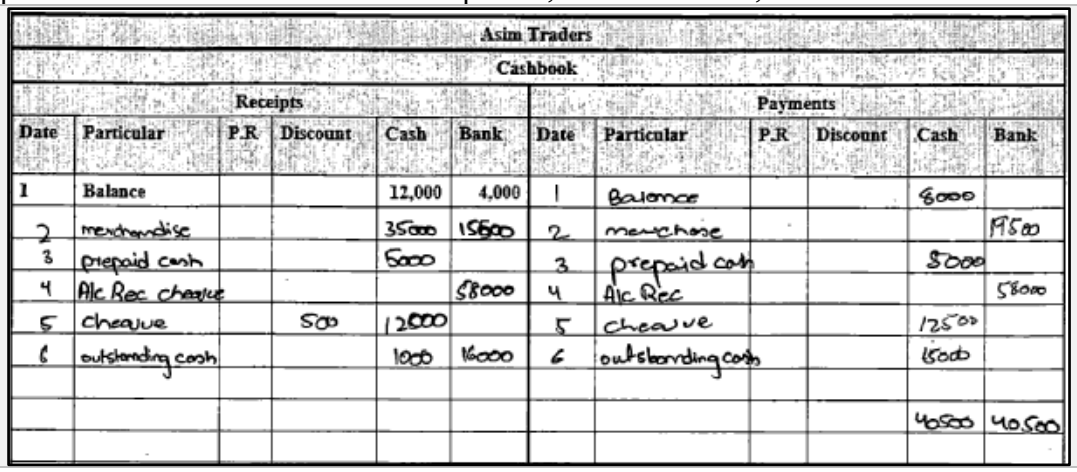
Comparison Chart Practice: Have students build simple comparison tables (e.g., with headings "Definition," "Time Period," "Example") for pairs of concepts. This helps reinforce structured thinking and clear differences.

Flashcard Quizzes: Use flashcards with accounting term pairs. One side shows the pair, the other side contains a sample point of difference. Students can quiz each other in pairs to reinforce memory and application.

<table>
<tr><th colspan="2">Question No. 3</th></tr>
<tr><td>Question Text</td><td>Asim Traders have performed the following business transactions during the month of November 2024.

<table>
<tr><th>Dates</th><th>Transaction</th></tr>
<tr><td>Nov 1, 2024</td><td>Cash balance (Cr.) Rs 12,000; Bank balance Rs 4,000 (Cr.)</td></tr>
<tr><td>Nov 4, 2024</td><td>Sold goods to Alam worth Rs 35,000 and received cash Rs 15,500 as partial payment</td></tr>
<tr><td>Nov 6, 2024</td><td>Paid Rs 5,000 cash to Afifa & Co. for commission of a business deal</td></tr>
<tr><td>Nov 8, 2024</td><td>Received cheque of Rs 58,000 from debtors and deposited the cheque into bank account on the same date</td></tr>
<tr><td>Nov 12, 2024</td><td>Paid full and final settlement of Rs 12,500 to vendors via cheque and availed a purchase discount of Rs 500</td></tr>
<tr><td>Nov 20, 2024</td><td>Withdrew Rs 16,000 from bank for business use and Rs 1,000 for personal use</td></tr>
</table>

Record the given business transactions into the ‘Three Column Cashbook’ format.</td></tr>
<tr><td>SLO No.</td><td>2.2.5</td></tr>
<tr><td>SLO Text</td><td>Prepare the following kinds of cash book: a. two column cash book b. three column cash book.</td></tr>
<tr><td>Max Marks</td><td>6</td></tr>
<tr><td>Cognitive Level</td><td>A</td></tr>
<tr><td>Checking Hints</td><td>Give ONE mark for recording each correct business transaction (FIVE required).
Give ONE mark for footing and balancing of the cashbook.</td></tr>
<tr><td>Overall Performance</td><td>The performance on this question was moderate, with a fair number of candidates demonstrating a good understanding of the Three Column Cashbook format. However, a noticeable percentage of candidates still struggled with accurately recording transactions, especially those involving discounts, contra entries, and personal withdrawals. The responses showed that while some candidates were confident with basic entries, others lacked understanding of more detailed cashbook features.</td></tr>
<tr><td>Description of Better Responses</td><td>Better responses correctly identified and recorded transactions under the appropriate columns, i.e., Cash, Bank, and Discount with proper dates, details, and narration. These candidates correctly handled:
• Partial receipts, showing Rs 15,500 in the cash column and Rs 19,500 as remaining balance in accounts receivable (though not part of cashbook, it was well interpreted),
• Bank deposits, where cheques received were entered in the Bank Dr. column,
• Contra entries, such as the withdrawal from bank for business use being recorded in both Bank Cr. and Cash Dr. with “C” marked for contra,
• And purchase discounts, where the Rs 500 was correctly recorded in the Discount Cr. column along with the Rs 12,500 bank payment.
These responses also maintained a neat layout and carried forward correct balances.</td></tr>
</table>

Image of Better Response	
Description of Weaker Responses	*Weaker responses* reflected confusion about the structure of the three-column cashbook. Some of the common errors are placing all entries in either the cash or bank column without considering which mode was used, ignoring the discount columns entirely or misplacing the discount value, missing the contra entry, or recording it as a regular transaction, including personal withdrawals as business expenses, incorrect totals, or balances at the end.
Image of Weaker Response	

Asim Traders

Cashbook

Receipts						Payments					
Date	Particular	P.R	Discount	Cash	Bank	Date	Particular	P.R	Discount	Cash	Bank
1	Balance			12,000	4,000	06	Commission exp			5,500	
04	Sales			15,500		12	AP		500		12,500
08	AR				58,1600	20	Cash	(c)			16,1500
20	Bank			16,1500		20	Drawing				1,1500
				43,500	62,1600				500	5000	29,500
						30	Bal c.F			38,500	32,5000
				43500	62,1500					43500	62,1500
01	Bal BF			38,500	32,500						

Asim Traders

Cashbook

Receipts						Payments					
Date	Particular	P.R	Discount	Cash	Bank	Date	Particular	P.R	Discount	Cash	Bank
1	Balance			12,000	4,000	1	Balance			8000	
2	merchandise			3500	15600	2	merchase				19500
3	prepaid cash			5000		3	prepaid cash			5000	
4	A/c Rec cheque				58000	4	A/c Rec				58000
5	cheque		500	12000		5	cheque			12500	
6	outstanding cash			1000	16000	6	outstanding cash			16000	
										40500	40500

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

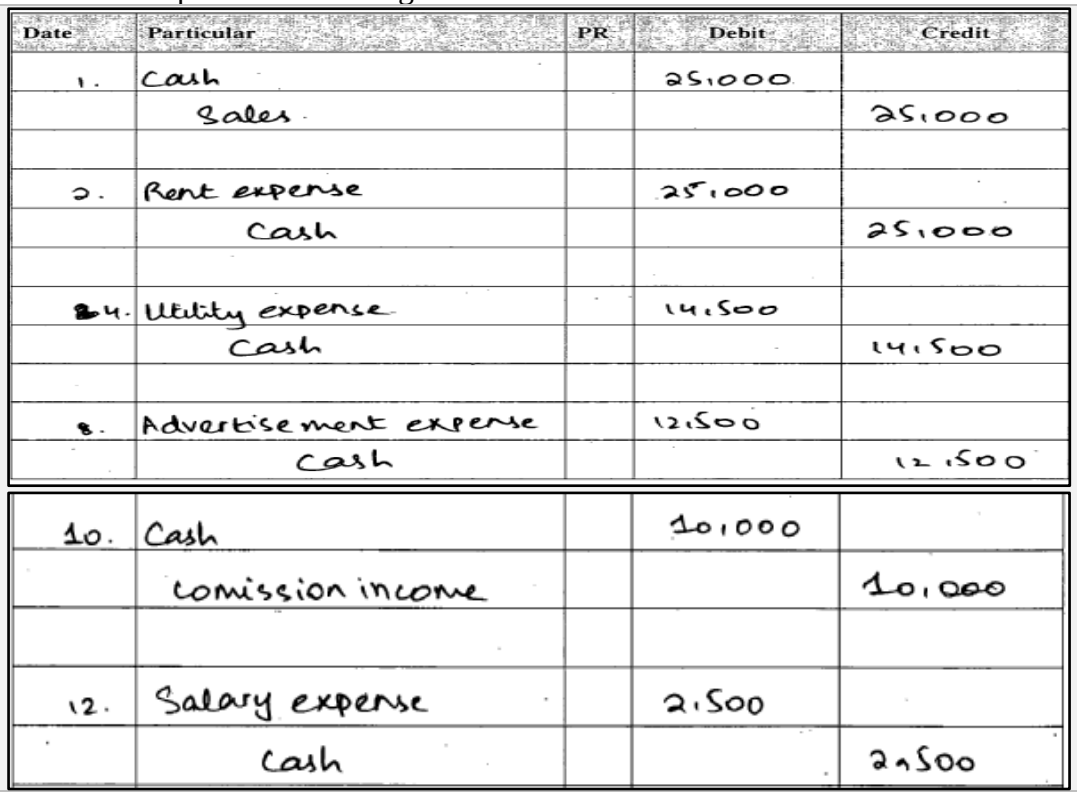
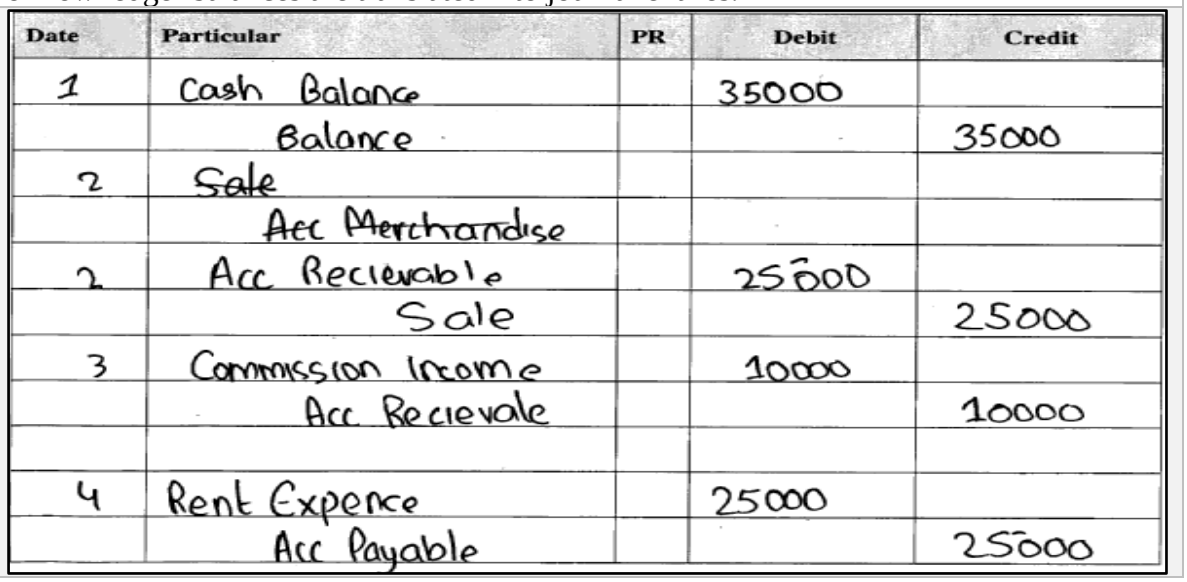
Any Additional Suggestion:

Teacher can use the cashbook puzzle activity to develop stronger understanding within the students.

Cashbook Puzzle Activity: Prepare incomplete or jumbled cashbook entries and have students work in groups to fix errors, match entries to transactions, and balance the book. This builds attention to detail and reinforces formatting.

<table>
<tr><th colspan="2">Question No. 4</th></tr>
<tr><td>Question Text</td><td>The following ‘cash ledger account’ of Shahbaz Associates has been extracted for the month of January 2023.
<table>
<tr><th colspan="6">Cash Ledger</th></tr>
<tr><th>Date</th><th>Particular</th><th>Amount</th><th>Date</th><th>Particular</th><th>Amount</th></tr>
<tr><td>01.01 2023</td><td>Balance</td><td>35,000</td><td>02.01 2023</td><td>Rent expense</td><td>25,000</td></tr>
<tr><td>01.01</td><td>Sales</td><td>25,000</td><td>04.01</td><td>Utility expense</td><td>14,500</td></tr>
<tr><td>10.01</td><td>Commission income</td><td>10,000</td><td>08.01</td><td>Advertisement expense</td><td>12,500</td></tr>
<tr><td></td><td></td><td></td><td>12.01</td><td>Salaries expense</td><td>2,500</td></tr>
<tr><td></td><td></td><td></td><td></td><td></td><td></td></tr>
<tr><td></td><td>Total</td><td>70,000</td><td></td><td>Total</td><td>54,500</td></tr>
<tr><td></td><td></td><td></td><td></td><td>Balance c/d</td><td>15,500</td></tr>
<tr><td></td><td></td><td>70,000</td><td></td><td></td><td>70,000</td></tr>
<tr><td></td><td>Balance b/d</td><td>15,500</td><td></td><td></td><td></td></tr>
</table>
Post the given transactions from the cash ledger account into the general journal format.

(Note: Narration of the transactions are not required.)</td></tr>
<tr><td>SLO No.</td><td>2.4.5</td></tr>
<tr><td>SLO Text</td><td>Record general journal entries;</td></tr>
<tr><td>Max Marks</td><td>6</td></tr>
<tr><td>Cognitive Level</td><td>A</td></tr>
<tr><td>Checking Hints</td><td>Give ONE mark for each correct posted transaction (SIX required).</td></tr>
<tr><td>Overall Performance</td><td>The overall performance on this question was very good, with a good number of candidates demonstrating an understanding of how to transfer transactions from a ledger account into a general journal. A small percentage of candidates scored zero, which shows that most were at least able to attempt the task. However, only about three-fourth of the candidates scored full marks, indicating that while the concept was familiar, accuracy and format were common challenges.</td></tr>
<tr><td>Description of Better Responses</td><td>Better responses followed the correct general journal format, clearly showing the date, debit and credit accounts, and correct amounts for each transaction. These candidates understood that cash inflows (such as sales and commission income) are debits in the cash ledger and would be credited in the journal, while cash outflows (such as rent, utilities, and salaries) are credits in the ledger and would be debited in the journal. For example, they correctly recorded “Rent Expense Dr. Rs 25,000/ Cash Cr. Rs 25,000” and “Cash Dr. Rs 25,000/</td></tr>
</table>

	Sales Cr. Rs 25,000." Their responses were organised, complete, and showed a good grasp of the dual aspect of accounting.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* often revealed confusion between the ledger and journal roles, with many candidates reversing the debit and credit entries or listing all entries as debits or credits only. Some candidates ignored the opening and closing balances or included unnecessary narrations despite clear instructions. A few candidates simply copied the ledger without converting it into the correct journal structure. These issues showed a lack of understanding of how ledger balances are translated into journal entries.
Image of Weaker Response	

Date	Particular	PR	Debit	Credit
1.	Cash		25,000	
	Sales			25,000
2.	Rent expense		25,000	
	Cash			25,000
4.	Utility expense		14,500	
	Cash			14,500
8.	Advertisement expense		12,500	
	Cash			12,500
10.	Cash		10,000	
	comission income			10,000
12.	Salary expense		2,500	
	Cash			2,500

Date	Particular	PR	Debit	Credit
1	Cash Balance		35000	
	Balance			35000
2	Sale			
	Acc Merchandise			
2	Acc Recievable		25000	
	Sale			25000
3	Commission Income		10000	
	Acc Recievale			10000
4	Rent Expence		25000	
	Acc Payable			25000

5	Rent exp Utility		14500	
	Cash			14500
6	Advertisment Exp		12500	
	Acc Payable			12500
7	Salary exp		2500	
	Acc Payable			2500

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Pedagogy Used for that SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

To improve student performance, there needs to be more focus on teaching the relationship between ledger and journal entries, especially the direction of debit and credit when shifting from one format to another. A helpful teaching strategy would be to use ledger-to-journal conversion drills, where students are given sample ledger accounts and asked to generate corresponding journal entries. Another effective method is to conduct peer review exercises, where students exchange their journal entries and check each other's debit/ credit placements. This encourages self-correction and reinforces the understanding of how the two formats are connected.

Question No. 5

Question Text

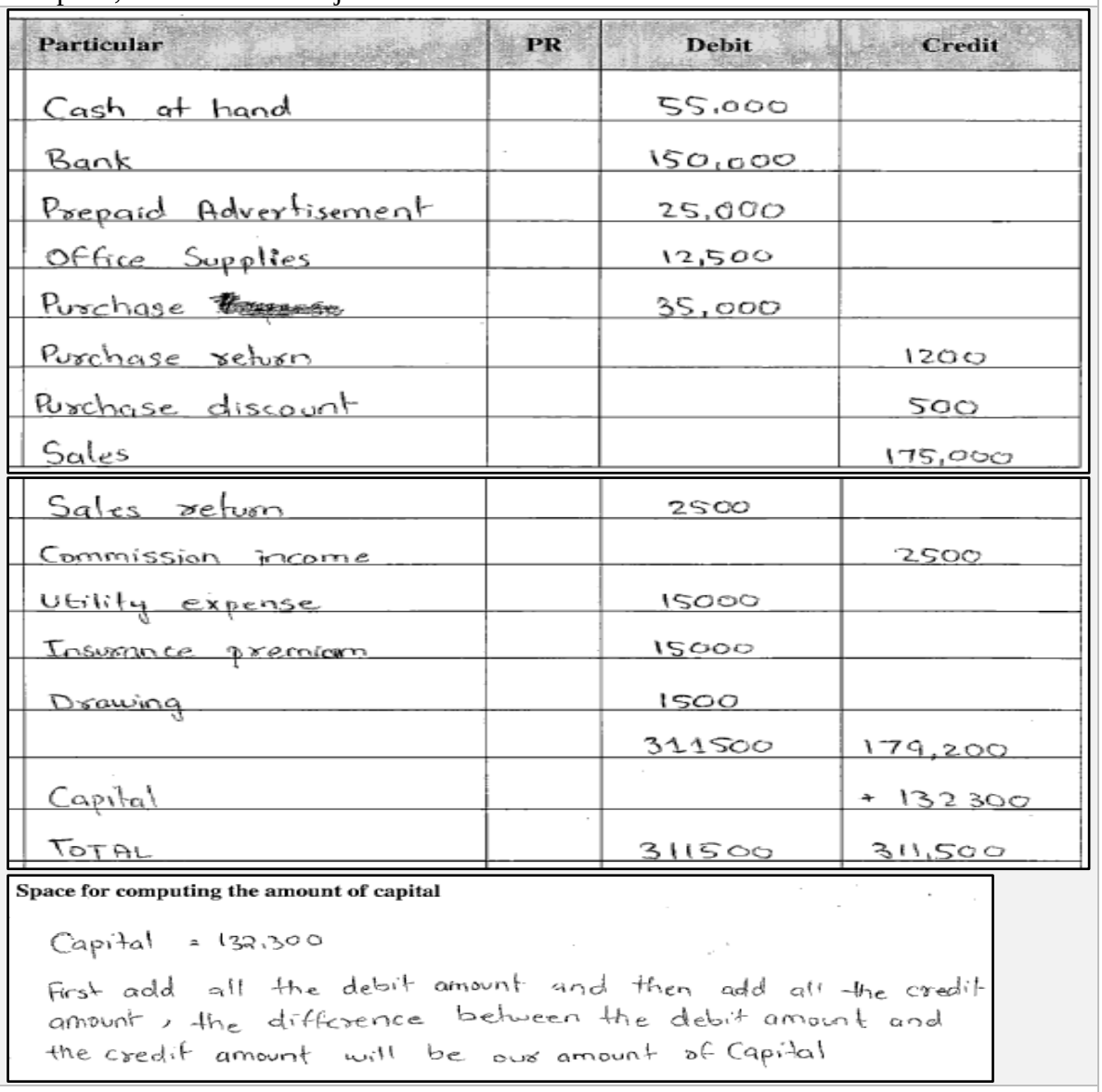
The following balances are taken from the ledgers of Qalandar Traders as on December 31, 2024.

S. No.	Particular	Amount (Rs)
1	Cash at hand	55,000
2	Bank	150,000
3	Prepaid advertisement	25,000
4	Office supplies	12,500
5	Purchase	35,000
6	Purchase return	1,200
7	Purchase discount	500
8	Sales (revenue)	175,000
9	Sales return	2,500
10	Commission income	2,500
11	Utility expense	15,000
12	Insurance premium	15,000
13	Drawing	1,500

I. Compute the amount of capital for the business by balancing the trail balance.

II. Prepare the trail balance for the given ledger account balances.

SLO No.	2.4.13
SLO Text	Prepare trial balance by extracting the balances (data) from general ledger.
Max Marks	6
Cognitive Level	A
Checking Hints	Give ONE mark for all correct posting of credit accounts. (TWO marks) Give TWO marks for all correct posting of debit accounts. (ONE mark) Deduct one mark if any account is wrongly posted. Rest of marks will be allocated on the 'principle of own figure rule count'. Give ONE mark for the gross total. Give ONE mark for computing the capital account. Give ONE mark for finding the trail balance agreed amount.
Overall Performance	The overall performance in this question was good, with many candidates showing a sound understanding of trial balance preparation and the capital balancing figure. A good number achieved full marks, reflecting accuracy in classification and presentation. However, a small group struggled with basic debit and credit rules. Their answers showed confusion in the treatment of returns, discounts, and drawings. This created a clear gap between well-prepared and weak candidates.
Description of Better Responses	*Better responses* demonstrated a solid grasp of the account classification required for preparing a trial balance. These candidates accurately sorted each balance into the debit or credit column, with entries like cash, bank, supplies, prepaid advertisement recorded as

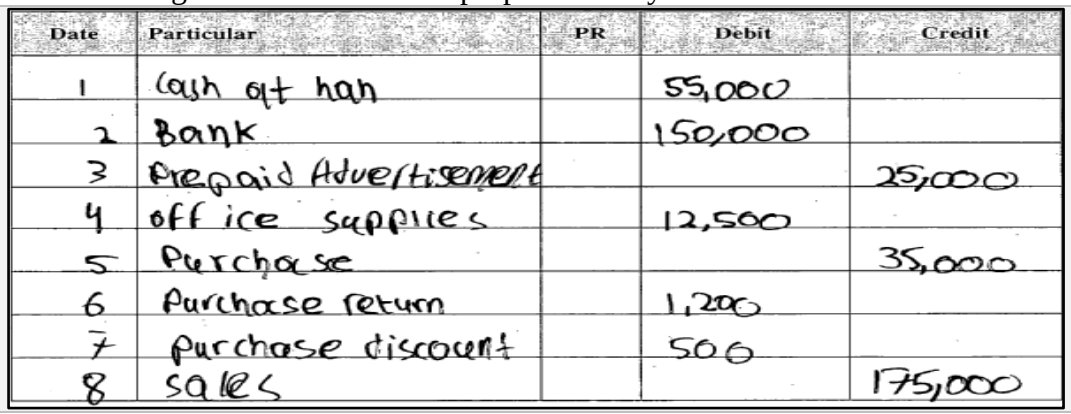
	debits, and sales and commission income placed correctly under credits. They also correctly calculated capital by balancing the trial balance: adding total debits and credits and finding the difference to determine the missing capital figure. Their work was well-structured, complete, and free from major classification errors.
Image of Better Response	

Particular	PR	Debit	Credit
Cash at hand		55,000	
Bank		150,000	
Prepaid Advertisement		25,000	
Office Supplies		12,500	
Purchase		35,000	
Purchase return			1200
Purchase discount			500
Sales			175,000
Sales return		2500	
Commission income			2500
Utility expense		15000	
Insurance premium		15000	
Drawing		1500	
		311500	179,200
Capital			+ 132 300
TOTAL		311500	311,500

Space for computing the amount of capital

Capital = 132,300

First add all the debit amount and then add all the credit amount, the difference between the debit amount and the credit amount will be our amount of Capital

Description of Weaker Responses	*Weaker responses* showed significant confusion, especially in account grouping and balancing. Many candidates placed items in the wrong columns, such as recording sales on the debit side or drawings on the credit side. Several responses skipped the capital calculation entirely or added it incorrectly, leading to an unbalanced trial balance. A few candidates misunderstood the format altogether and wrote the balances as a list instead of in trial balance format with debit and credit columns. These errors revealed a lack of understanding of the trial balance's purpose and layout.
Image of Weaker Response	

Date	Particular	PR	Debit	Credit
1	Cash at hah		55,000	
2	Bank		150,000	
3	Prepaid Advertisement			25,000
4	off ice supplies		12,500	
5	Purchase			35,000
6	Purchase return		1,200	
7	purchase discount		500	
8	sales			175,000

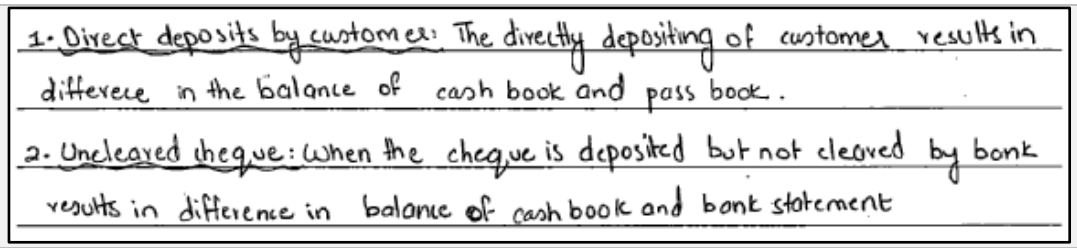
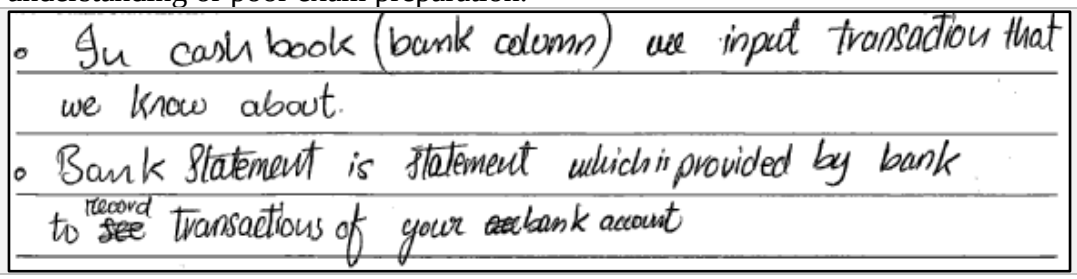
	Sales return		2,500	
	Commission income		2,500	
	Utilit Expense		15,000	
	Insurance premium		15,000	
	Drawing			1,500
	Total		254,200	236,500

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

A useful teaching strategy is to provide incomplete trial balances and have students complete or correct them. This builds familiarity with the structure and helps highlight common mistakes. Another helpful method is to introduce colour-coded account classification exercises, where students match accounts to their type (asset, liability, expense, income, capital) and column (debit/ credit) using visual aids. This reinforces understanding of account behaviour and makes abstract terms easier to grasp.

Question No. 6	
Question Text	Mention any TWO reasons for the difference between the balances in the 'cashbook (bank column)' and the 'bank statement'.
SLO No.	3.3.3
SLO Text	Explain the causes of difference in cash book (bank column) and bank statement balances.
Max Marks	2
Cognitive Level	U
Checking Hints	Give ONE mark for each correct answer (TWO required).
Overall Performance	The overall performance was mixed in this question, as many candidates answered the question accurately and achieved full marks, showing a clear understanding of bank reconciliation. These candidates were able to recall the common reasons for differences and presented them precisely. On the other hand, a considerable number failed to score, which indicated weak conceptual knowledge. Their responses showed confusion about the causes of mismatches between the cashbook and the bank statement.
Description of Better Responses	*Better responses* provided accurate and relevant reasons for the difference, using simple yet correct language. Common correct answers included points such as: "Cheques issued but not yet presented in the bank" and "Cheques deposited but not yet credited by the bank." These responses showed that candidates understood timing differences between when a transaction is recorded by the business and when it is processed by the bank. Some also correctly mentioned bank charges not yet recorded in the cashbook or direct deposits by customers.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* were often vague, incorrect, or off topic. Many candidates simply wrote, "Because there is a mistake" or "Due to wrong balance," without explaining what causes the difference. Some confused the cashbook with the cash account and gave unrelated reasons, while others repeated the same reason twice in different words. A few responses listed internal accounting errors, which do not typically appear in bank reconciliation unless specifically related to bank transactions. These answers reflected weak conceptual understanding or poor exam preparation.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

An effective teaching strategy would be to use real or simulated bank statements and cashbook entries to walk students through the reconciliation process. Students can work in pairs to spot differences and discuss the causes. Another useful approach is to create a matching exercise, where students link reasons for bank statement and cashbook differences with sample transactions. This will build both recognition and understanding of common reconciliation items.

Question No. 7

Question Text

The following information were extracted while reconciling the balance of cashbook and bank statement of Al-Hamra Traders for the month of June 2024.

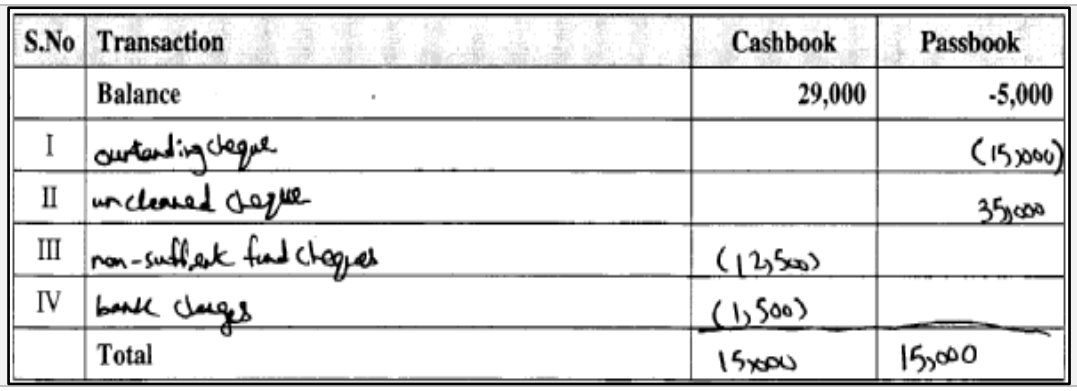
I. Outstanding cheques Rs 15,000
II. Uncleared cheques Rs 35,000
III. NSF (non-sufficient fund) cheques Rs 12,500
IV. Bank SMS charges Rs 1,500

Based on the given information, prepare the bank reconciliation statement for Al-Hamra Traders.

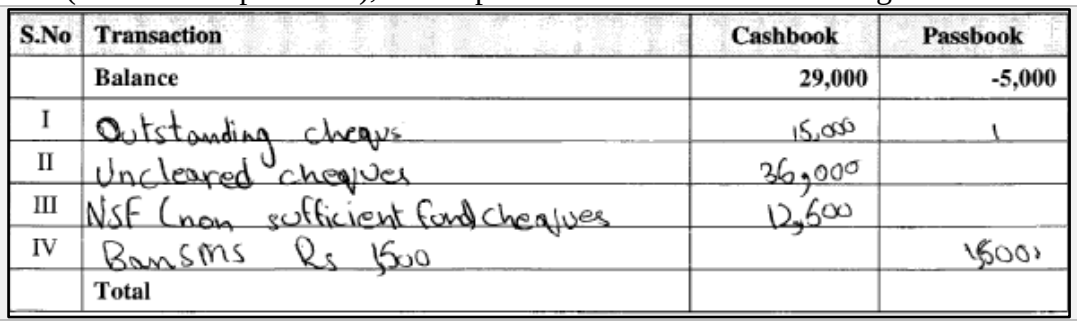
(**Note:** The opening balances of cashbook and passbook are given in the format.)

S. No.	Transaction	Cashbook	Passbook
	Balance	**29,000**	**-5,000**
I			
II			
III			
IV			
	Total		

SLO No.	3.3.6
SLO Text	Prepare a bank reconciliation statement: a. when cash book balance (bank column) and bank statement balance are both given b. when either cash book balance (bank column) or bank statement balance is given.
Max Marks	4
Cognitive Level	A
Checking Hints	Give ONE mark for each correct posting (FOUR required).
Overall Performance	The overall performance on this question was relatively good, with a considerable number of candidates showing familiarity with the bank reconciliation statement and how to adjust the balances of the cashbook and passbook. The low percentage of zero scores suggests that most candidates were at least able to attempt the question, even if some entries were incorrect or out of order. However, candidates struggled to achieve full marks, indicating incomplete understanding or calculation errors in some cases.
Description of Better Responses	*Better responses* followed the proper format of a bank reconciliation statement, beginning with the given balance (either cashbook or passbook) and adjusting it systematically using the listed items. These candidates correctly understood how each item affects the reconciliation. For example, they correctly subtracted the outstanding cheques from the cashbook balance and added the uncleared cheques to it. The NSF cheques and bank SMS charges were properly subtracted as well. Their working was clear, logically ordered, and their totals were accurate, resulting in correctly matched balances on both sides.

Image of Better Response	

S.No	Transaction	Cashbook	Passbook
	Balance	29,000	-5,000
I	outstanding cheque		(15,000)
II	uncleared cheque		35,000
III	non-sufficient fund cheques	(12,500)	
IV	bank charges	(1,500)	
	Total	15,000	15,000

Description of Weaker Responses	*Weaker responses* revealed confusion in treatment of the reconciliation items. Some candidates did not understand which items increased or decreased the balance or confused cashbook with passbook adjustments. A few treated the bank charges and NSF cheques as items to be added instead of deducted. Others did not show the steps clearly or mixed up the starting balance direction. Some also left the table format incomplete or filled only one side (cashbook or passbook), or complete loss of marks in formatting.
Image of Weaker Response	

S.No	Transaction	Cashbook	Passbook
	Balance	29,000	-5,000
I	Outstanding cheqs	15,000	1
II	Uncleared cheques	36,000	
III	NSF (non sufficient fund) cheques	12,500	
IV	Bank SMS Rs 1500		1500
	Total		

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

A recommended teaching strategy is to give students pairs of incomplete bank reconciliation tables and ask them to fill missing figures or identify errors. Another helpful approach is to use a color-coded flow chart to show how various items impact either the bank or cashbook balance. This visual aid can help clarify when to add or subtract items depending on the starting point.

Question No. 8	
Question Text	**Use the given information to answer Q.8 and Q.9.** The trial balance of Al-Hikma Traders as of June 30, 2024, showed a difference of Rs 9,500 at credit side. The account clerk proceeded preparing the draft of final accounts for the year ended June 30, 2024, showing a net profit of Rs 94,480. The following errors were subsequently discovered: i. Sales of Rs 9,000 to 'Al-Falah Traders' was debited to both 'Al-Falah Traders' and 'sales account'. ii. A cash payment of Rs 11,250 for an electrical bill was entered on the debit side of the electrical expenses account as Rs 10,750. iii. The sales journal was undercast by Rs 40,000. iv. A cheque of Rs 3,000, for the rent income received from Al-Salam Trading, was only entered in the cashbook. v. Telephone expenses and electricity expenses were both overstated by Rs 2,000 and Rs 3,000 respectively. Prepare the journal entries to correct the given errors.
SLO No.	4.3.6 and 4.3.7
SLO Text	Prepare suspense account and its entries. Calculate revised profit by correcting different accounting errors (both affecting and not affecting trial balance).
Max Marks	5
Cognitive Level	A
Checking Hints	Give ONE mark for each correct entry.
Overall Performance	The overall performance on this question was poor, with only a small percentage managing to achieve full marks. This suggests that most candidates struggled with the concept of error correction using journal entries, particularly when the errors involved principle, original entry, and omission types. The low full-score percentage indicates a clear gap in candidates' ability to analyse, interpret, and correctly reverse or adjust such errors.
Description of Better Responses	*Better responses* showed that candidates understood how to identify the nature of the error and determine the correct accounting treatment. These candidates correctly reversed wrong entries and posted adjusting journal entries in proper format. In the first case, they reversed the wrong debit to Sales and replaced it with the correct credit of Rs 9,000, making a total credit of Rs 18,000 to Sales. In the second case, they adjusted the understated expense by debiting Electricity Expense and crediting Cash/ Bank with Rs 500. In the third case, they corrected the under-casting by crediting Sales with Rs 40,000 and debiting Suspense. In the fourth case, they credited Rent Income with Rs 3,000 and debited Suspense to record the income omitted from the ledger. In the fifth case, they reduced the overstated Telephone and Electricity Expenses by crediting Rs 2,000 and Rs 3,000 respectively and debiting Suspense. These responses reflected clarity, accuracy, and neat presentation.

Image of Better Response

Date	Particular	PR	Debit	Credit
1.	Suspense Account		18000	
	Sales			18000
2.	electrical expense		500	
	Suspense Account			500
3.	Suspense Account		40,000	
	Sale			40,000
4	Suspense Account		3000	
	Rent income			3000
5.	Suspense Account		5000	
	Telephone expense			2000
	electricity expense			3000

Description of Weaker Responses

Weaker responses reflected confusion about error types and incorrect application of journal rules. Many candidates simply listed corrections in sentences or made vague adjustments without using the journal format. Others repeated the original wrong entries or failed to balance debits and credits. In several cases, candidates corrected the figures without understanding which accounts were affected. For example, increasing sales without considering its impact on profit, or failing to reverse an overstated expense properly. This showed weak conceptual understanding and little practice with rectification of errors.

Image of Weaker Response

Date	Particular	PR	Debit	Credit
1)	Suspense Account	1	9000	
	Sales	2		9000
2)	Electrical bill Expense	3	500	
	Cash	4		500
3)	Sales	2	40 000	
	Suspense A/C	1		40000
4)	Bank	5	3000	
	Rent Income	6		3000
5)	₹ Cash	4	2000	
	Telephone Expense	7		2000
6)	Cash	4	3000	
	Electricity Expense	3		3000

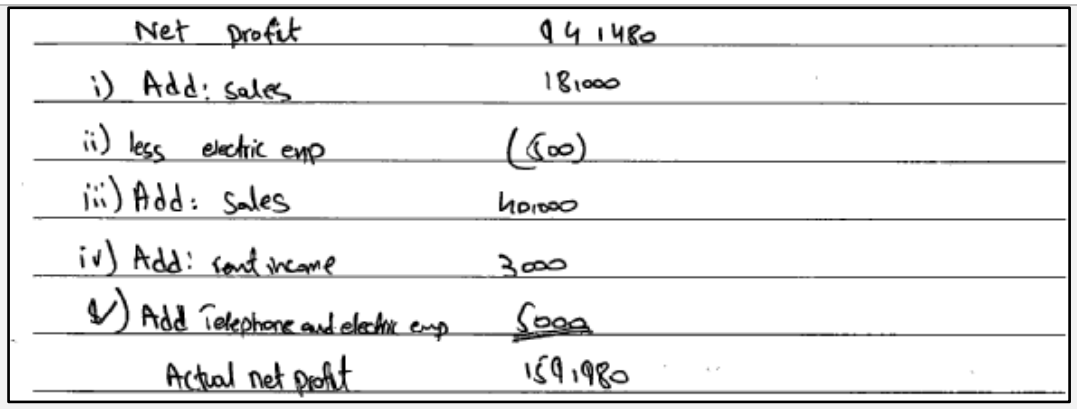
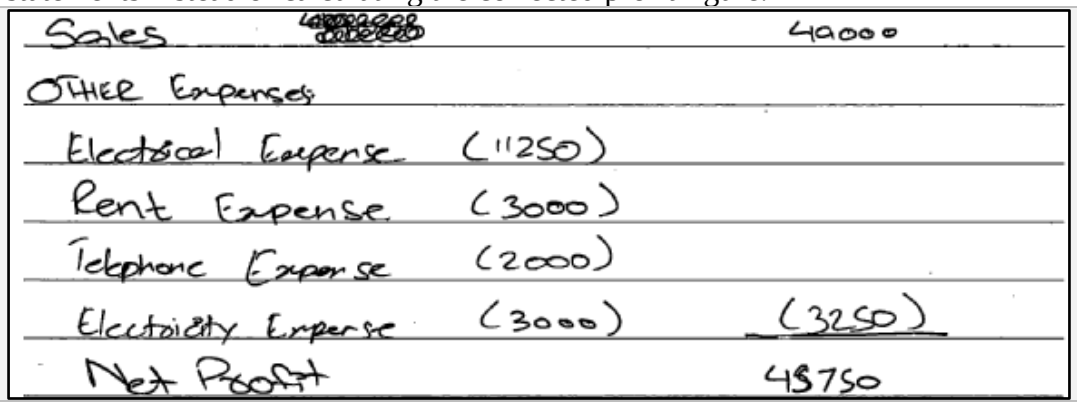
Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

To improve student performance, an effective teaching strategy is to use error-identification and correction case studies, where students work in small groups to find and correct mistakes in sample books of accounts. Another helpful method is to introduce a step-by-step error correction worksheet, guiding students from identifying the incorrect entry to rewriting the correct journal entry with full explanation. This structured approach can gradually improve both confidence and accuracy in error correction.

Question No. 9	
Question Text	**Use the given information to answer Q.8 and Q.9.** The trial balance of Al-Hikma Traders as of June 30, 2024, showed a difference of Rs 9,500 at credit side. The account clerk proceeded preparing the draft of final accounts for the year ended June 30, 2024, showing a net profit of Rs 94,480. The following errors were subsequently discovered: i. Sales of Rs 9,000 to 'Al-Falah Traders' was debited to both 'Al-Falah Traders' and 'sales account'. ii. A cash payment of Rs 11,250 for an electrical bill was entered on the debit side of the electrical expenses account as Rs 10,750. iii. The sales journal was undercast by Rs 40,000. iv. A cheque of Rs 3,000, for the rent income received from Al-Salam Trading, was only entered in the cashbook. v. Telephone expenses and electricity expenses were both overstated by Rs 2,000 and Rs 3,000 respectively. Calculate the correct net profit for the year ended June 30, 2024.
SLO No.	4.3.6 and 4.3.7
SLO Text	Prepare suspense account and its entries. Calculate revised profit by correcting different accounting errors (both affecting and not affecting trial balance).
Max Marks	5
Cognitive Level	A
Checking Hints	Give ONE mark for each correct entry.
Overall Performance	The overall performance on this question was also quite weak, This indicates that many candidates found it difficult to identify and adjust the impact of errors on the reported net profit. The low success rate suggests gaps in their understanding of how to analyse accounting errors in relation to the income statement, particularly with respect to overstated or understated income and expenses.
Description of Better Responses	*Better responses* showed a strong grasp of error analysis and the effect of each correction on the final profit figure. These candidates carefully examined how each error either increased or decreased the reported net profit and made appropriate adjustments. For example, they correctly added Rs 18,000 to profit for the double debit error on sales, added Rs 500 for the understated electricity expense, and increased income by Rs 40,000 for the undercast sales journal. They also added Rs 3,000 for the omitted rent income and corrected the overstated telephone and electricity expenses by adding Rs 2,000 and Rs 3,000 respectively. Their calculations were logical, accurate, and clearly showed how each item affected the final net profit.

Image of Better Response	
Description of Weaker Responses	*Weaker responses* often reflected a lack of understanding of whether an error increased or decreased the profit. Many candidates simply adjusted the trial balance difference instead of analysing the nature of each error, while others added or subtracted figures without explanation. A few candidates focused on correcting the entries themselves rather than recalculating the adjusted profit, leading to irrelevant or incomplete answers. Some responses even ignored the question's requirement and attempted to prepare financial statements instead of calculating the corrected profit figure.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

A helpful teaching strategy would be to use profit adjustment scenarios, where students analyse a list of accounting errors and classify them into those that increase, decrease, or have no impact on profit. Another useful approach is to introduce a profit correction table, allowing students to list the original error, its impact,

and the adjusted amount in a clear, structured format. This will develop analytical thinking and improve exam performance on similar questions.

Question No. 10

Question Text

The following balances have been taken from the books of Asif Brothers on 31, December 2024.

Debit Balances		Credit Balances	
	Amount (Rs)		**Amount (Rs)**
Cash	5,000	Sales (revenue)	68,000
Trade receivable (accounts receivable)	10,000	Purchase discount	1,000
Merchandise inventory	8,000	Commission income	3,000
Prepaid shop rent	5,000	Trade payable (account payable)	6,000
Sales equipment	30,000	Capital	30,000
Purchase	24,000		
Carriage inward	500		
Advertising expense	2,500		
Miscellaneous expense	1,500		
Office supplies expense	2,000		
Delivery expense	500		
Salaries expenses	18,000		
Sales return	500		

Data for adjustment on December 31, 2024:

- Prepaid shop rent Rs 1,000
- Office supplies unused Rs 400
- Salaries outstanding Rs 5,000
- Commission unearned Rs 1,000
- Merchandise inventory valued on December 31, 2024, at Rs10,000

Prepare a classified 'Income Statement' after adjusting the given transactions.

SLO No.	4.6.6
SLO Text	Prepare income statement including adjustments in classified form.
Max Marks	10
Cognitive Level	A
Checking Hints	Give marks as mentioned in the possible answer grid.
Overall Performance	The overall performance on this question was generally low, with only a small percentage of candidates achieving full marks. While the number of candidates scoring zero was not extremely high, the results show that many struggled with either adjusting the figures correctly or structuring the classified income statement as required. This suggests that while

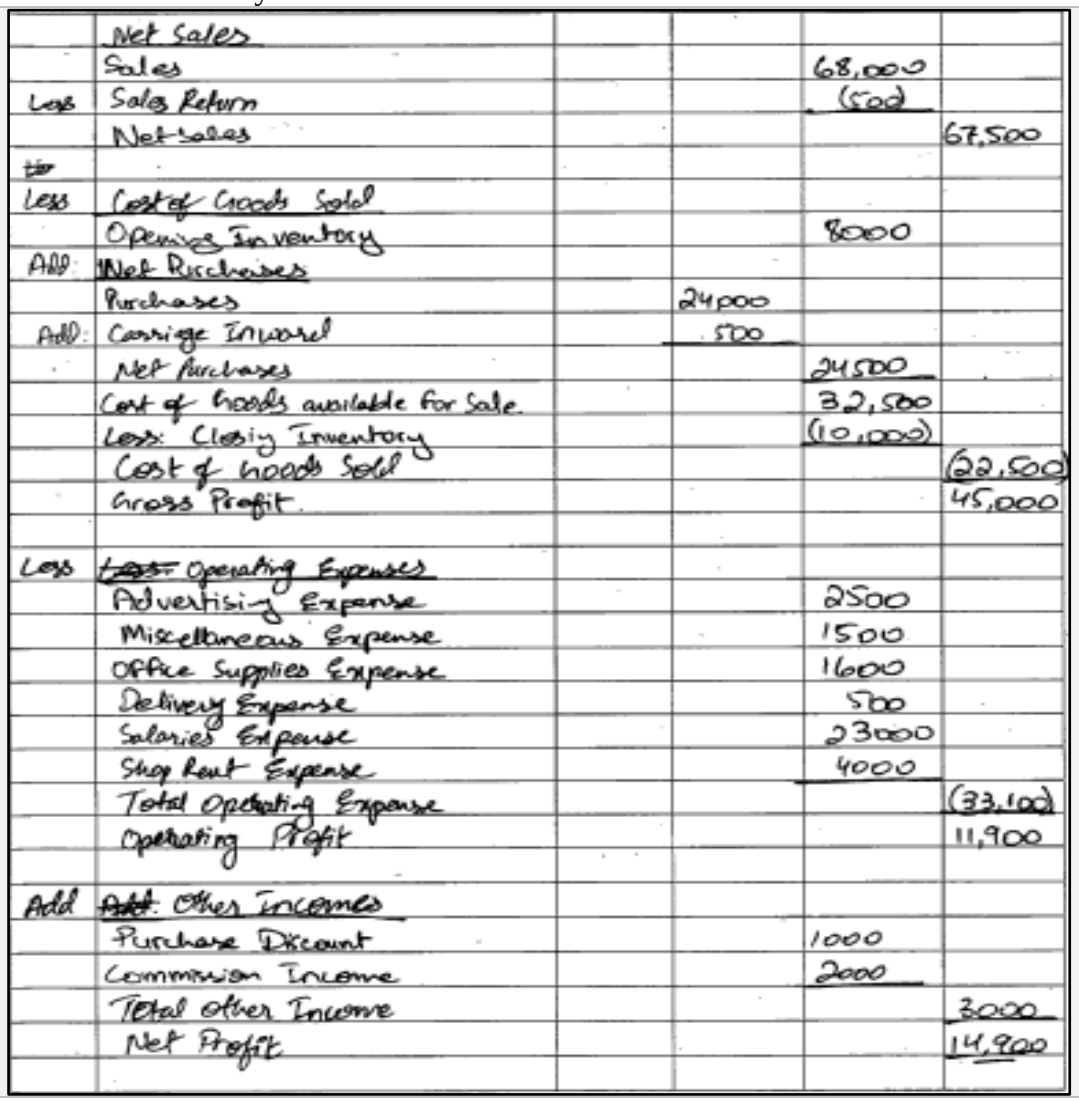
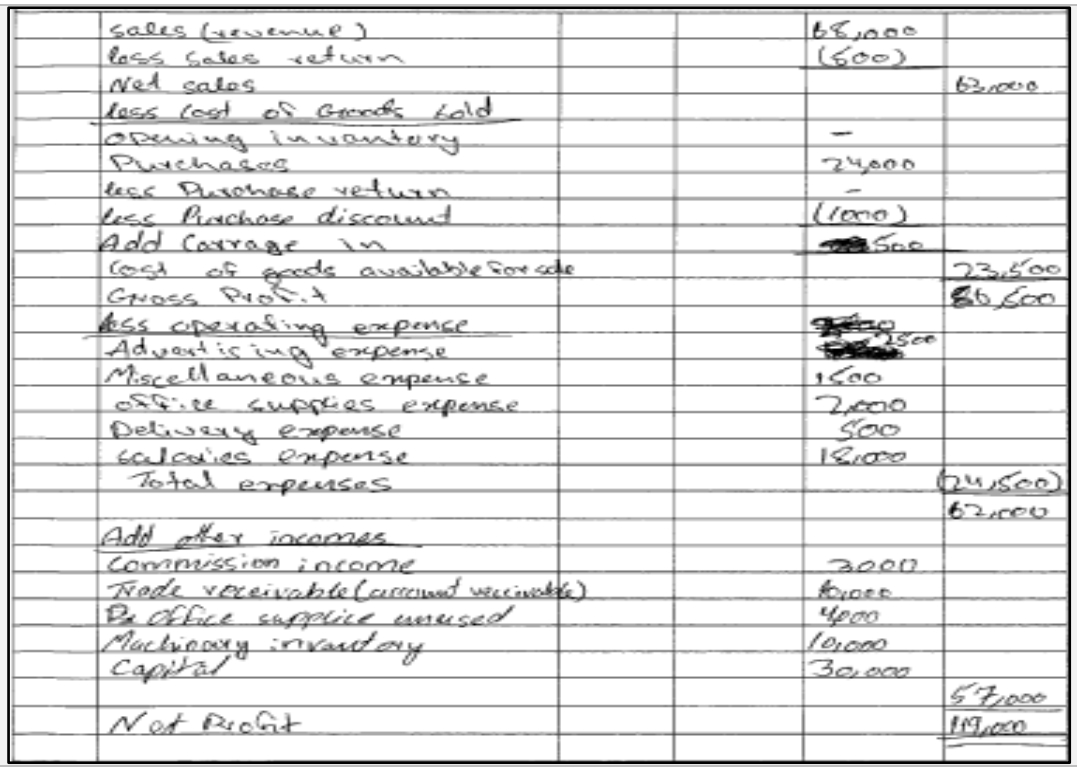
	candidates may understand individual elements such as expenses and revenues, they often face difficulties when multiple adjustments and classifications are involved.
Description of Better Responses	*Better responses* reflected a good understanding of how to prepare an income statement using both the unadjusted trial balance and the provided year-end adjustments. These candidates properly adjusted figures such as shop rent (recording Rs 4,000 as expense after removing the prepaid portion), outstanding salaries (adding Rs 5,000), and unearned commission (subtracting Rs 1,000 from commission income). They also applied the closing inventory to calculate cost of goods sold using the formula: Opening Inventory + Purchases + Carriage Inwards – Closing Inventory. Their final statement was clearly laid out under proper headings like Revenue, Cost of Goods Sold, Gross Profit, and Operating Expenses, showing both mathematical accuracy and structural clarity.
Image of Better Response	
Description of Weaker Responses	*Weaker responses* displayed confusion in adjustments and classification. Many candidates either forgot to adjust the prepaid and outstanding amounts or misclassified items such as carriage inward and office supplies under the wrong section. Several candidates used the full prepaid rent or ignored the unused supplies adjustment, while some included inventory balances in the expense section without applying the cost of goods sold formula. Others omitted the sales return or treated it as an expense instead of deducting it from revenue. In several cases, the income statement was not classified at all, showing a lack of familiarity with the expected format.

Image of Weaker Response



Sales (revenue)		68,000	
less sales return		(500)	
Net sales			67,500
less cost of Goods sold			
opening inventory		–	
Purchases		24,000	
less Purchase return		–	
less Purchase discount		(1000)	
Add Carriage in		500	
Cost of goods available for sale			23,500
Gross Profit			44,000
less operating expense			
Advertising expense		1500	
Miscellaneous expense		1500	
office supplies expense		2,000	
Delivery expense		500	
Salaries expense		18,000	
Total expenses			(24,500)
			67,000
Add other incomes			
Commission income		3000	
Trade receivable (allowed receivable)		8,000	
Be office supplies unused		4000	
Machinery inventory		10,000	
Capital		30,000	
			57,000
Net Profit			124,000

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
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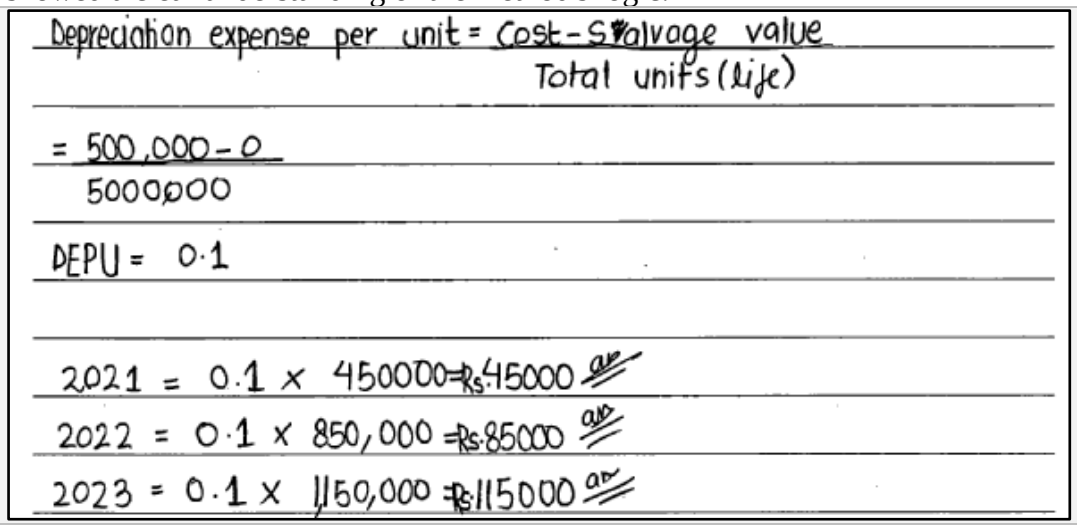
Any Additional Suggestion:

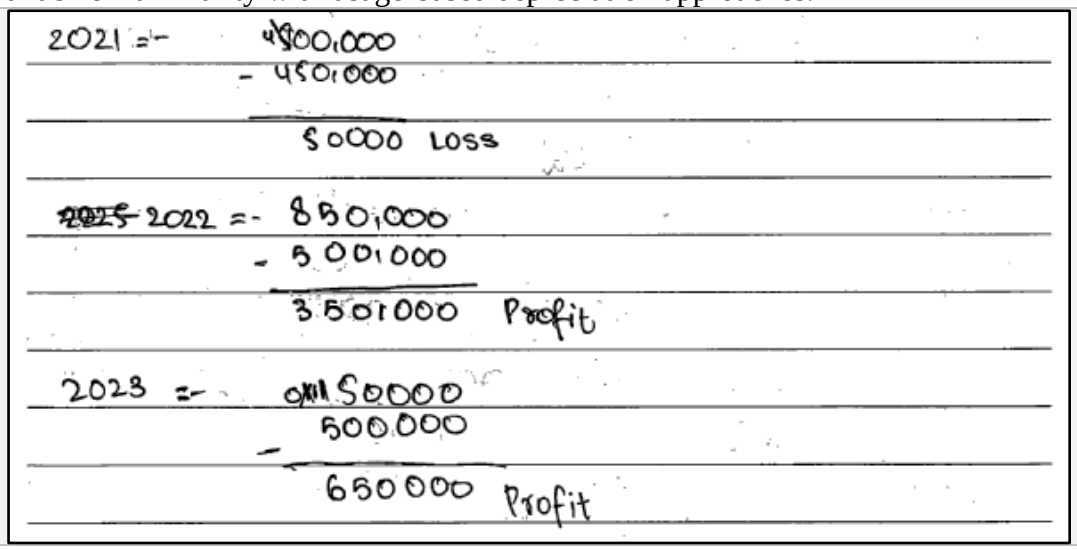
A helpful teaching strategy is to introduce step-by-step income statement templates, where students fill in each section as they apply the adjustments one by one. Another effective method is the use of "adjustment sort" exercises, where students identify whether an item increases or decreases income or expense, and how it should appear in the final statement. This approach builds both conceptual understanding and confidence in formatting.

<table>
<tr><th colspan="2">Question No. 11</th></tr>
<tr><td>Question Text</td><td>Al-Mukhtar Associates purchased a packaging plant on April 01, 2023, from Al-Haram Packaging for Rs 500,000 with a work life of 5,000,000 packaging units.

The following are the details of their packaging plant:

<table>
<tr><th>Year</th><th>Packaging Unit</th></tr>
<tr><td>2021</td><td>450,000</td></tr>
<tr><td>2022</td><td>850,000</td></tr>
<tr><td>2023</td><td>1,150,000</td></tr>
</table>

Compute the depreciation by production method for the year 2021, 2022 and 2023.</td></tr>
<tr><td>SLO No.</td><td>5.3.3</td></tr>
<tr><td>SLO Text</td><td>Calculate depreciation with the help of: a. straight line method (fixed instalment method) b. sum of years digit method c. diminishing balance method (reducing balance method) d. production method (unit and hour).</td></tr>
<tr><td>Max Marks</td><td>5</td></tr>
<tr><td>Cognitive Level</td><td>A</td></tr>
<tr><td>Checking Hints</td><td>Give ONE mark for each correct computation.</td></tr>
<tr><td>Overall Performance</td><td>The overall performance on this question was mixed, with an almost equal number of candidates scoring either zero or full marks. This indicates a clear divide in understanding while some candidates grasped the production method of depreciation accurately and applied it correctly, nearly half either misunderstood the method or made calculation errors. The results suggest that while the concept may have been introduced, not all candidates had enough practice applying it to real numerical data.</td></tr>
<tr><td>Description of Better Responses</td><td>Better responses demonstrated a strong understanding of the units-of-production depreciation method, where depreciation is based on the actual usage of the asset rather than time. These candidates correctly calculated the depreciation rate per unit by dividing the total cost of Rs 500,000 by the estimated total production of 5,000,000 units, resulting in a rate of Rs 0.10 per unit. They then multiplied this rate by the actual number of units produced each year with rate to calculate depreciation. These responses were accurate, and showed a clear understanding of the method's logic.</td></tr>
<tr><td>Image of Better Response</td><td> 
</td></tr>
</table>

Description of Weaker Responses	*Weaker responses* often reflected confusion between time-based depreciation methods (like straight-line or reducing balance) and the production method. Some candidates divided the total cost by years instead of units or applied a fixed percentage to the asset value. Others calculated the depreciation rate correctly but applied it to the wrong number of units or incorrectly totaled the depreciation for all three years as one value. In several cases, candidates simply restated the data without performing any calculations. This highlighted a lack of familiarity with usage-based depreciation approaches.
Image of Weaker Response	

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

A helpful teaching strategy is to use visual aids and step-by-step flowcharts showing how to move from asset cost → total units → rate per unit → depreciation per year. Another effective method is assigning side-by-side exercises comparing straight-line, reducing balance, and production method calculations for the same asset, which helps students understand the differences and applications of each.

Question No. 12

Question Text

Al-Hamra Associates purchased a printing press plant on January 01, 2020 from Quanta Prints for Rs 1,500,000. The machine has an estimated life of 10 years and is depreciating annually with a scrap value of Rs 500,000.

The following are the details of the recorded depreciation.

Year	Depreciation
2020	150,000
2021	150,000
2022	150,000
2023	150,000

Case 1:

The printing press plant exchanged for 20% of the cost price, i.e., considered as trade in allowance or value in trade. The new packaging plant was valued at Rs 2,000,000. The balance settled by paying 50% and the rest of the amount will be settled in four quarterly instalments.

Case 2:

The packaging plant was disposed of with a scrap value of Rs 800,000.

i. Compute the gain or loss for each case.
ii. Post the general journal entry for each case.

SLO No.	5.3.5
SLO Text	Compute and record disposal of non-current assets (fixed assets): a. by sales b. by exchange c. by discard as well; prepare ledger account of the following: a. asset b. depreciation c. provision (allowance) for depreciation.
Max Marks	5
Cognitive Level	A
Checking Hints	Give THREE marks for each computation for gain and loss. Give TWO marks for each correct entry
Overall Performance	The overall performance on this question was poor. The responses suggest that most candidates struggled to apply the concepts of disposal of non-current assets, particularly when faced with non-routine cases like trade-ins and part payments. This shows a lack of familiarity with scenarios beyond basic disposals.
Description of Better Responses	*Better responses* correctly applied the steps of calculating net book value (NBV) and comparing it with the disposal proceeds to determine gain or loss. For Case 1, these candidates first determined the total depreciation over 4 years (Rs 150,000 × 4 = Rs 600,000), subtracted it from the original cost (Rs 1,500,000 – Rs 600,000 = Rs 900,000 NBV), and compared this with the trade-in allowance (20% of Rs 1,500,000 = Rs 300,000). This resulted in a loss of Rs 600,000 on disposal. They then recorded the correct journal entry, debiting the new plant and loss on disposal, and crediting bank, liability (installments payable), and old asset. For Case 2, the sale proceeds (Rs 800,000) exceeded the NBV (Rs 900,000), resulting in a loss of Rs 100,000, which was correctly reflected in the journal entries.

Image of Better Response

Case 1		Case 2	
Cost of Old Plant : 1,500,000		Cost of Plant = 1,500,000	
Less: Accumulated Depreciation : 600,000		~~Less: Trade in Allow~~	
Book Value = 900,000		Less : Accumulated Dep : 600,000	
Less : Trade in Allowance : 300,000		Book value : 900,000	
Loss on Exchange : 600,000		Discard value : (900,000)	
Computing Cash Payment		loss on Discard = 100,000	
Cost of new Plant : 2,000,000			
Less : T.I.A : 300,000			
Cash Payment 1,70,0000			

Date	Particular	P.R.	Debit	Credit
	Case I			
	Accumulated Depreciation		600,000	
	New plant		2,000,000	
	Loss		600,000	
	old plant			1500,000
	Cash			850,000
	Afc payable			850,000
	Case II			
	Accumulated Depreciation		600,000	
	Loss		100,000	
	Cash		800,000	
	old plant			1500,000

Description of Weaker Responses

Weaker responses showed confusion in calculating depreciation and NBV, often subtracting the total depreciation from the wrong amount or using incorrect trade-in values. Many candidates misunderstood what trade-in allowance means, treating it as a cash sale or not adjusting for it at all. Others failed to differentiate between loss and gain or ignored the multi-part nature of the payment (cash + instalments). In Case 2, several candidates mistakenly recorded a gain when a loss occurred, due to arithmetic or conceptual errors. Journal entries were often incomplete or incorrectly.

Image of Weaker Response

Annual depreciation = $\frac{\text{cost} - \text{scrap value}}{\text{life}}$

$= \frac{1500000 - 500000}{10} = 100{,}000$

500,000

Year	Depreciation	Allow. depreciation	value
2020	100000	100000	400,000
2021	100 000	100 000	300,000
2022	100 000	100 000	200,000
2023	100000	100 000	100 000

loss of 500,000

Date	Particular	P.R.	Debit	Credit
i	Allowance for dep (2020)		10 0000	
	value			400 000
ii	Allowance for dep (2021)		100 000	
	value			300 000
iii	Allowance for dep (2022)		100 000	
	value			200 000
iv	Allowance for dep (2023)		100 000	
	value			100000

Suggestions for improvement (Highlight all that apply)

Maximising SLO Achievement	Preferred Pedagogy Used for this SLO	Assessment Strategies
• Identify the expectation of command words (use Command Word Guide) • Ensure the content is taught at the relevant cognitive level • Identify necessary content required (skills + concepts) • Review past paper questions on the concept • Utilise the resource guide for additional materials	• Story Board • Cause and Effect • Fish and Bone • Concept Mapping • Audio Visual Resources • Think, Pair and Share • Knowledge Platform videos • Questioning Technique (Socratic approach) • Practical Demonstration	• Past paper questions • Discussion on E-Marking Notes

Any Additional Suggestion:

To address these weaknesses, teaching should focus on real-life scenarios involving disposal of assets, particularly cases involving trade-ins, instalment payments, and mixed settlements. Students need guided practice in determining Net Book Value (NBV), comparing with disposal values, and translating those into journal entries.

Two effective teaching strategies include:

- Scenario-based accounting simulations, where students work in small groups to role-play business transactions and create accounting records based on asset disposal, trade-ins, and purchases.
- A disposal decision map or template, where students follow a step-by-step structure (cost → accumulated depreciation → NBV → disposal proceeds → gain/loss → journal entry) to build accuracy and confidence in tackling disposal questions.

Annexure A: Pedagogies Used for Teaching the SLOs

Pedagogy: Storyboard
Description: A visual pedagogy that uses a series of illustrated panels to present a narrative, encouraging creativity and critical thinking. It helps learners organise ideas, sequence events, and comprehend complex concepts through storytelling.
Example: In a Literature class, students are tasked with creating storyboards to visually retell a novel. They draw key scenes, write captions, and present their stories to the class, enhancing their reading comprehension and fostering their imagination.

Pedagogy: Cause and Effect
Description: This pedagogy explores the relationships between actions and consequences. By analysing cause-and-effect relationships, learners develop a deeper understanding of how events are interconnected and how one action can lead to various outcomes.
Example: In a History class, students study the causes and effects of the Industrial Revolution. They research and discuss how technological advancements in manufacturing led to significant societal changes, such as urbanisation and labour reform movements.

Pedagogy: Fish and Bone
Description: A method that breaks down complex topics into main ideas (the fish) and supporting details (the bones). This visual approach enhances comprehension by highlighting essential concepts and their relevant explanations.
Example: During a Biology class on human anatomy, the teacher uses the fish and bone technique to teach about the human skeletal system. Teacher presents the main components of the human skeleton (fish) and elaborates on each bone's structure and function (bones).

Pedagogy: Concept Mapping
Description: An effective way to visually represent relationships between ideas. Learners create diagrams connecting key concepts, aiding in understanding the overall structure of a subject and fostering retention.
Example: In a Psychology assignment, students use concept mapping to explore the various theories of personality. They interlink different theories, such as Freud's psychoanalysis, Jung's analytical psychology, and Bandura's social-cognitive theory, to see how they relate to each other.

Pedagogy: Audio Visual Resources
Description: Incorporating multimedia elements like videos, images, and audio into lessons. This approach caters to different learning styles, making educational content more engaging and memorable.
Example: In a General Science class, the teacher uses a documentary-style video to teach about the solar system. The video includes stunning visual animations of the planets, interviews with astronomers, and background music, enhancing students' interest and understanding of space.

Pedagogy: Think, Pair, and Share
Description: A collaborative learning technique where students ponder a question or problem individually, then discuss their thoughts in pairs or small groups before sharing with the entire class. It fosters active participation, communication skills, and diverse perspectives.
Example: In a Literature in English class, the teacher poses a thought-provoking question about a novel's moral dilemma. Students first reflect individually, then pair up to exchange their opinions, and finally participate in a lively class discussion to explore different viewpoints.

Pedagogy: Questioning Technique (Socratic Approach)
Description: Based on Socratic dialogue, this method stimulates critical thinking by posing thought-provoking questions. It encourages learners to explore ideas, justify their reasoning, and discover knowledge through a process of inquiry.
Example: In an Ethics class, the instructor uses the Socratic approach to lead a discussion on the meaning of justice. By asking a series of probing questions, the students engage in a deeper exploration of ethical principles and societal values.

Pedagogy: Practical Demonstration
Description: A hands-on approach where learners observe real-life applications of theories or skills. Practical demonstrations enhance comprehension, skill acquisition, and problem-solving abilities by bridging theoretical concepts with real-world scenarios.
Example: In a Food and Nutrition class, the instructor demonstrates the proper technique for filleting a fish. Students observe and then practice the skill themselves, learning the practical application of knife skills and culinary precision.

(**Note:** The examples provided in this annexure serve as illustrations of various pedagogies. It is important to understand that these pedagogies are versatile and can be applied across subjects in numerous ways. Feel free to adapt and explore these techniques creatively to enhance learning outcomes in your specific context.)

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